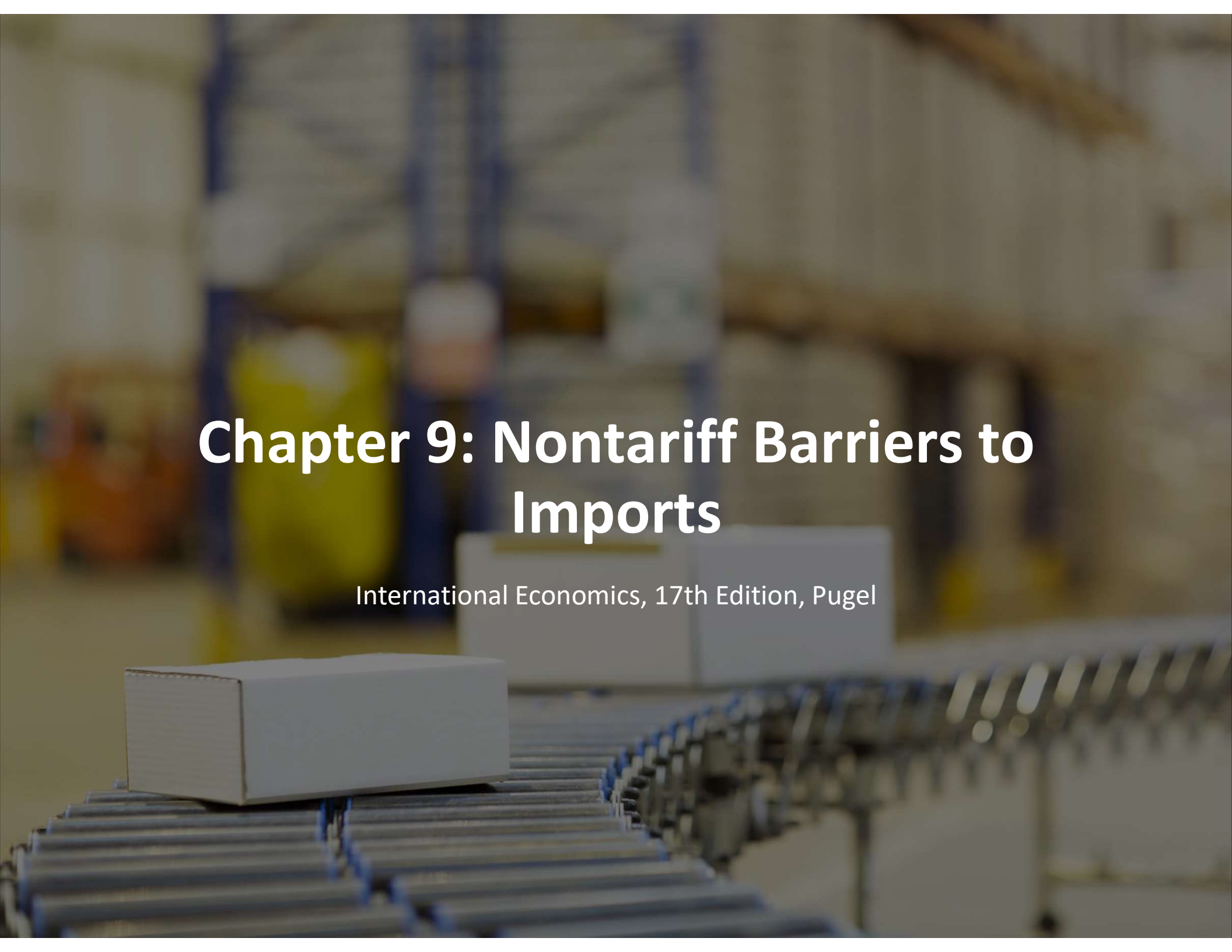




Chapter 9: Nontariff Barriers to Imports

International Economics, 17th Edition, Pugel

Nontariff Barriers to Imports

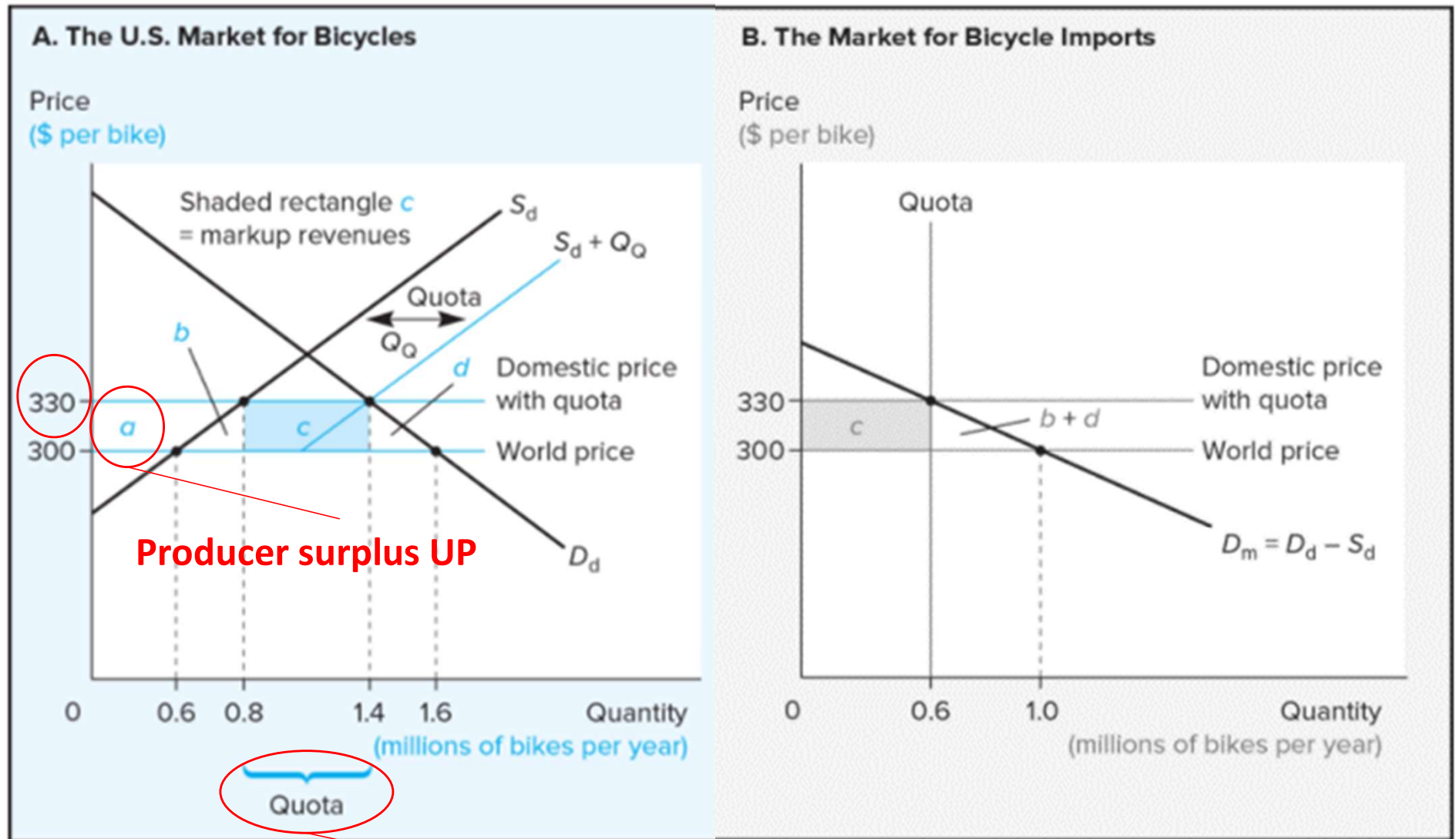
An NTB reduces imports through one or more of the following direct effects by:

- Limiting the quantity of imports.
- Increasing the cost of getting imports into the market.
- Creating uncertainty about the conditions under which imports will be permitted.

Major Types of Nontariff Barriers (NTBs)₁

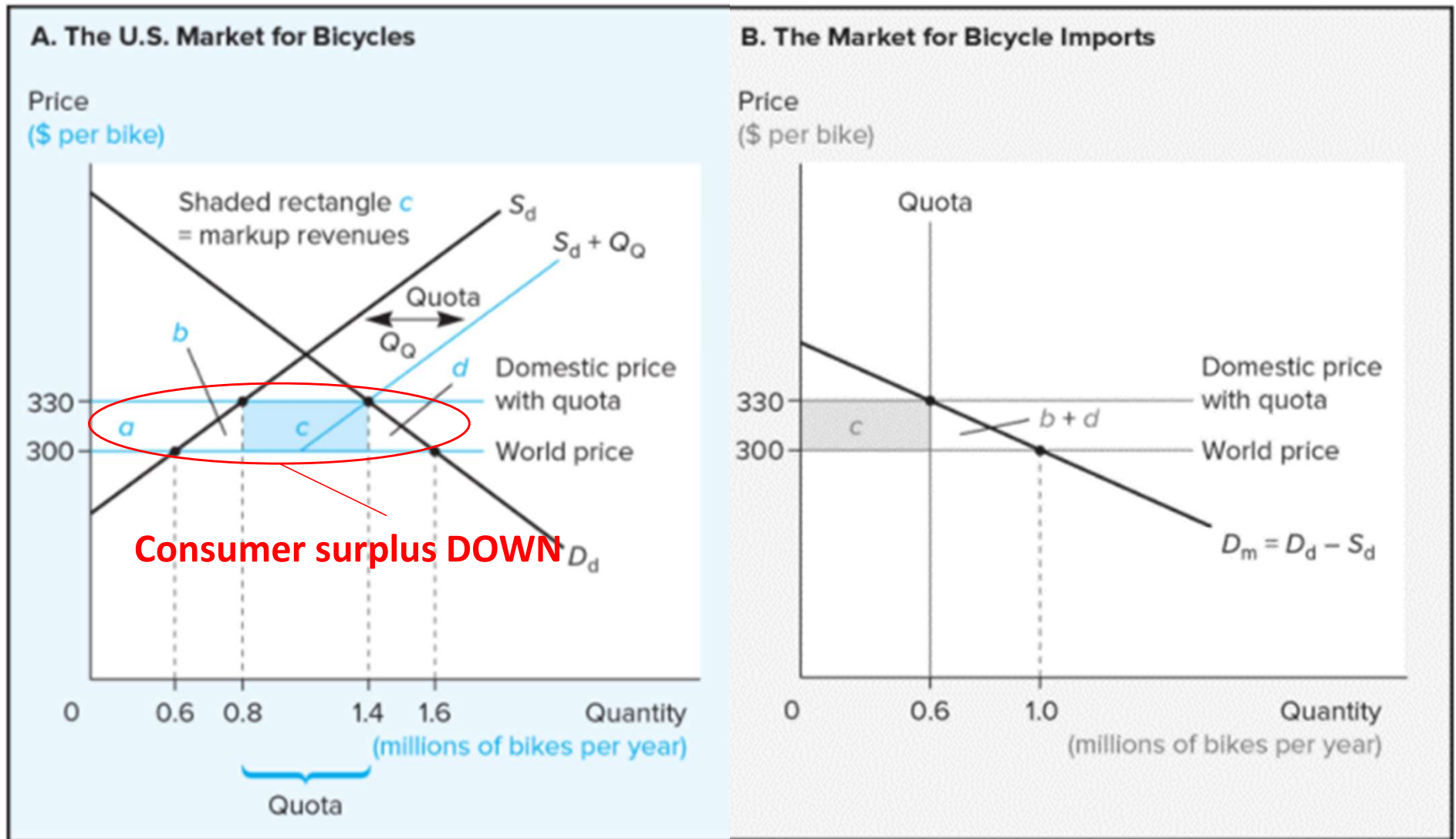
Type	Description
Import quota	Quantitative limit on imports. Direct effect(s): Quantity
Voluntary export restraint (VER)	Quantitative limit on foreign exports (based on threat of import restriction) . Direct effect(s): Quantity
Tariff quota	Allows imports to enter the country at a low or zero tariff up to a specified quantity; imposes a higher tariff on imports above this quantity. Direct effect(s): Quantity
Government Procurement	Laws and government rules that favor local products when the government is the buyer. Direct effect(s): Quantity + Cost of importing
Local content and mixing requirements	Require specified use of local labor, materials, or other products. Direct effect(s): Quantity
Technical and product standards	Discriminate against imports by writing or enforcing standards in a way that adversely affects imports more than domestic products. Direct effect(s): Cost
Advance deposit	Requires some of the value of intended imports to be deposited with the government and allows the government to pay low or zero interest on these deposits. Direct effect(s): Cost
Import licensing	Requires importers to apply for and receive approval for intended imports. Direct effect(s): Cost
Other customs procedures (product classification, product	Affect the amount of tariff duties owed or the quota limit applied; procedures can be slow or costly. Direct effect(s): Cost

The Import Quota

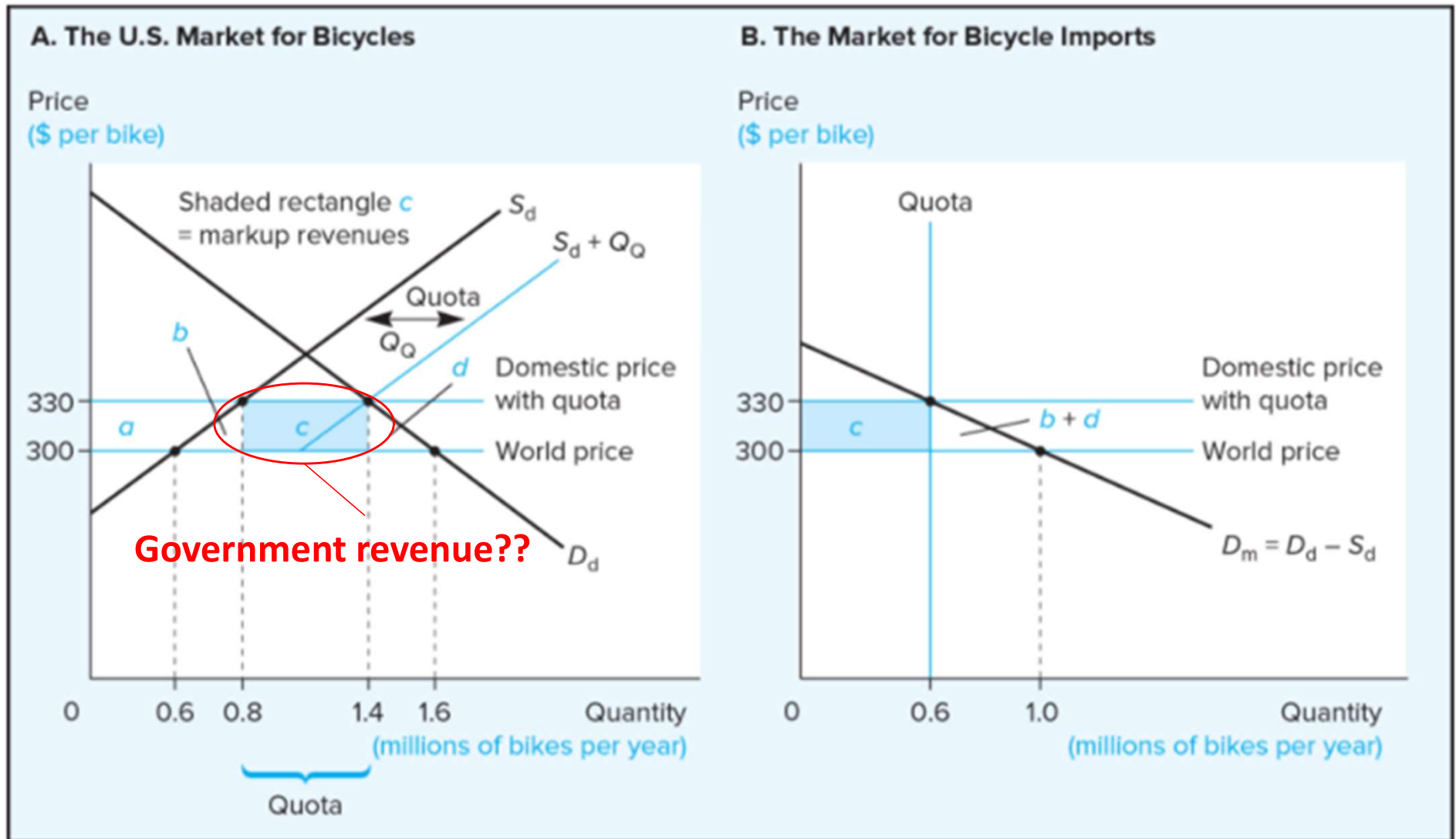


Quota limits imports into
Country resulting in higher prices

The Import Quota



The Import Quota



World Trade Organization (WTO)

- Liberalize trade restrictions, move toward free trade
- Nondiscrimination among countries, most favored nation (MFN)
- No unfair encouragement for exports

Global Trade & the WTO

